

## China: RMB loan stock declined from March to April

### Bottom line:

April credit data came in well below market expectations, mainly due to weaker-than-expected bank loans extension. Shadow banking credit also declined from March to April after seasonal adjustment. The decline in RMB loan stock in April was broad-based, except for a surge in bill financing. This is a short-term form of bank lending that usually surges as banks try to fill unused loan quota. Official media attributed the decline in loan extension partly to stronger corporate bond issuance, which has substituted for bank lending amid lower financing costs. But weaker-than-expected TSF flows suggest that underlying credit demand remains soft, in our view. In light of today's weaker-than-expected credit growth, we revise down our 2026 full-year total social financing growth forecast to 8.0% yoy (vs. 8.5% yoy previously).

### Key numbers:

New RMB loans (flow, reported): RMB -10bn in April (RMB loans to the real economy: RMB -400bn) vs. Bloomberg consensus: RMB 300bn, GS forecast: RMB 300bn.

Outstanding RMB loan growth: 5.6% yoy in April (+4.5% mom sa ann, estimated by GS); March: 5.7% yoy (+4.5% mom sa ann).

Total social financing (TSF flow, reported): RMB 620bn in April, vs. Bloomberg consensus: RMB 1250bn, GS forecast: RMB 1300bn.

TSF stock growth: 7.8% yoy in April, vs. 7.9% in March. The implied month-on-month growth of TSF stock: 7.9% in April (seasonally adjusted annualized rate), vs. 6.1% in March.

M2: 8.6% yoy in April (10.7% mom sa ann estimated by GS) vs. Bloomberg consensus: 8.5% yoy, GS forecast: 8.5% yoy. March: 8.5% yoy (3.8% mom sa ann).

### Main points:

1. April total social financing (TSF) flows came in well below consensus expectations, mainly due to weaker-than-expected bank loans extension and a notable decline in outstanding shadow banking credit. After seasonal adjustment, TSF flows rose from March to April as increased bond issuance more than offset the decline in loan extension: corporate and government bond issuance rose to RMB 1741bn (vs. RMB 1429bn in March), while bank loan extension fell to RMB 948bn (vs. RMB 1116bn in March), after seasonal adjustment ([Exhibit 1](#)). In year-over-year terms, TSF stock growth edged down to 7.8% yoy in April (vs. 7.9% yoy in March). In light of today's weaker-than-expected credit growth, we revise down our 2026 full-year total social

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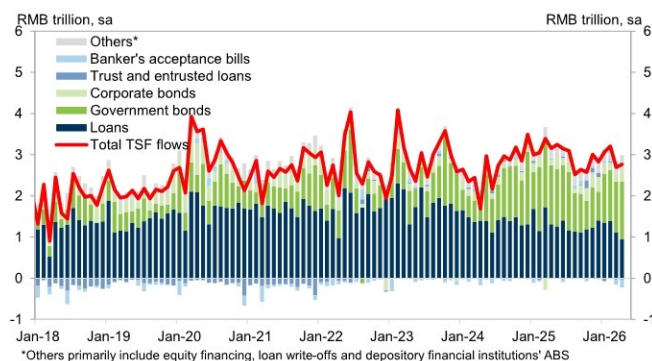
financing growth forecast to 8.0% yoy (vs. 8.5% yoy previously).

2. RMB loan stock (not seasonally adjusted) fell for the first time since July 2025, significantly below market expectations. The outstanding RMB loan growth slowed to 5.6% yoy in April (vs. 5.7% yoy in March). In non-seasonally adjusted terms, household loan stock declined by RMB 787bn in April (vs. a RMB 522bn decline a year ago). Outstanding corporate loans expanded by RMB 390bn in April, entirely driven by a surge in bill financing (RMB 1243bn in April vs. RMB 834bn a year ago). Note that this is a short-term form of bank lending that usually surges as banks try to fill unused loan quota. Mid-to-long term corporate loans declined by RMB 410bn in April (vs. a RMB 250bn expansion a year ago). Financial News, a media outlet affiliated with the PBOC, reported that loan growth moderated as bond issuance partly substituted for bank lending, supported by lower financing costs in the bond market.

3. M1 growth edged down to 5.0% yoy in April (vs. 5.1% yoy in March; Exhibit 2), while M2 growth edged up to 8.6% yoy in April (vs. 8.5% yoy in March). Fiscal deposits increased by RMB 739bn in April, RMB 368bn higher than the rise a year ago, which implies a slower pace of fiscal spending. This likely contributed to the moderation in M1 growth.

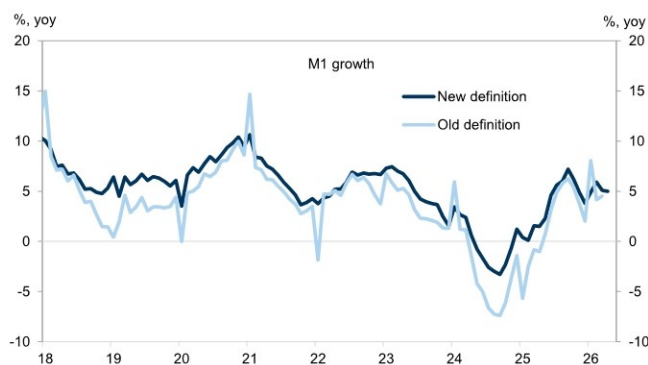
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**Exhibit 1: TSF flows rose from March to April after seasonal adjustment**



Source: PBOC, Data compiled by Goldman Sachs Global Investment Research

**Exhibit 2: M1 growth edged down in April**



New M1 data before 2024 are GS estimates. The PBOC only published 2024-25 data. New M1 = Old M1 + household demand deposits + reserve funds of non-bank payment institutions.

Source: CEIC, Goldman Sachs Global Investment Research

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